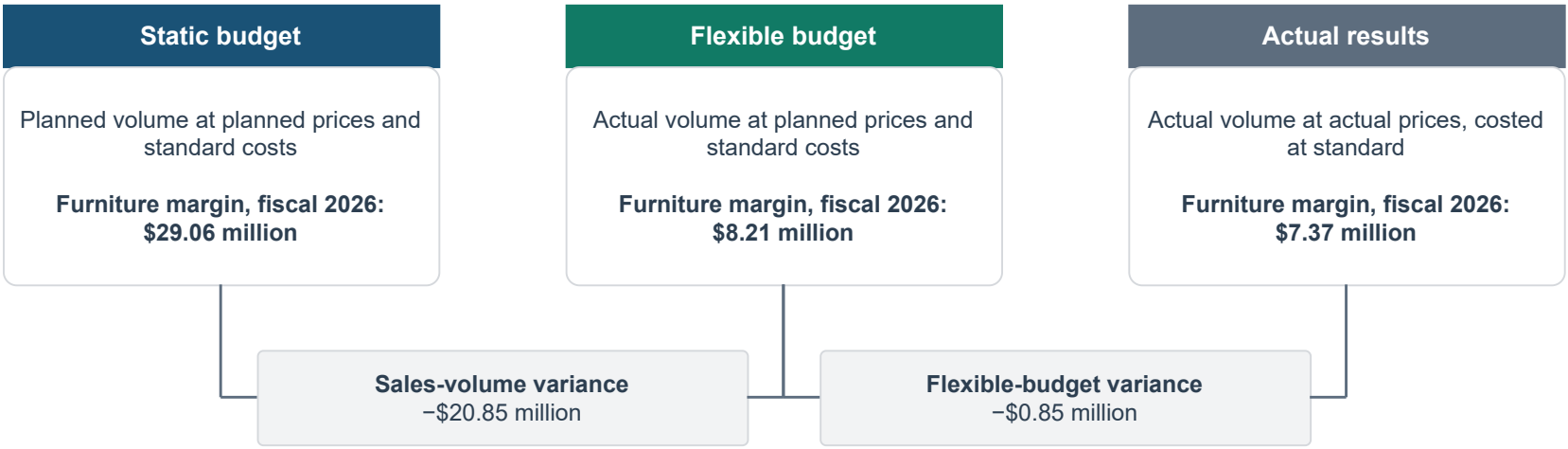


Measures the effect of volume and mix: what the plan's volume assumption was worth. At Charles River, the planned volume was several times what was sold.

Measures the effect of prices: actual revenue against the plan's prices for the same units. Costs are at standard in both, so no cost effect appears here.

The flexible budget keeps the plan's prices and costs per unit but uses the actual quantity of each item sold in each month.